

D080

Managing in a Global Business Environment

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

Method © 2026 Erik Daniel Lindquist — Course Mastery Coach, armored drill. Items drafted with AI assistance under his direction.

How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

Country A, which has a large, well-educated workforce and modern ports, can make 10 shirts or 5 phones per worker-day. Country B, a newer trading partner that recently joined a regional trade bloc, can make 6 shirts or 1 phone per worker-day. If the two countries trade, which good should Country B specialize in?

- A. Shirts, because its opportunity cost of a shirt is lower than Country A's.
- B. Whichever good the regional trade bloc protects most.
- C. Phones, because phones are the higher-value product.
- D. Neither good, because Country A is better at producing both.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

In one month a worker in Country X can produce either 40 bushels of wheat or 8 laptops. What is the opportunity cost of one laptop?

- A. 0.2 bushels of wheat
- B. 32 bushels of wheat
- C. 40 bushels of wheat
- D. 5 bushels of wheat

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A Kansas maker of farm sensors sells a \$50 unit to buyers in Germany. The company won a state export award last spring. Over the year the exchange rate moves from 0.90 euros per dollar to 1.00 euro per dollar. What happens to the price German buyers pay in euros, and to likely export demand?

- A. It stays €50, because the price is set in dollars.
- B. A stronger dollar always helps U.S. exporters sell more.
- C. It rises from €45 to €50, so export demand likely falls.
- D. It falls from €50 to €45, so export demand likely rises.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A U.S. importer owes a French supplier €10,000. When the order was placed a euro cost \$1.10; on the payment date a euro costs \$1.20. How many dollars does the importer pay?

- A.** \$1,000
- B.** \$11,000
- C.** \$8,333
- D.** \$12,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A medical-device company holds patents on a new imaging chip and wants to sell in Brazil. Its CEO has visited São Paulo twice and speaks some Portuguese. Leaders say protecting the chip design and controlling quality matter more than keeping costs low. Which entry mode fits best?

- A.** Licensing the chip design to a Brazilian manufacturer.
- B.** A joint venture with a local firm.
- C.** A wholly owned subsidiary.
- D.** Wait until the CEO is fluent in Portuguese.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A small firm wants income from a foreign market with almost no capital spent. It is willing to let a foreign company make its patented product locally in return for royalties. Which entry mode is this?

- A.** Franchising.
- B.** Licensing.
- C.** Wholly owned subsidiary.
- D.** Direct exporting.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A U.S. engineering firm is bidding on a highway contract in another country. A local consultant, recommended by a trade association and fluent in three languages, says a \$25,000 payment to the transport minister is customary and will secure the award. The consultant offers to make the payment himself. What is the correct view under U.S. law?

- A. It is allowed as a facilitating payment.
- B. It is allowed if the consultant, not the firm, makes the payment.
- C. It is allowed because it is customary in that country.
- D. It is prohibited, because paying an official through an agent to win business violates the FCPA.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

Which of the following payments by a U.S. company falls within the FCPA's narrow facilitating-payment exception?

- A. A small fee to a clerk to speed up processing of a work visa the company already qualifies for.
- B. No payment of any size to any foreign official is ever allowed.
- C. A payment to a minister to renew a contract the company already holds.
- D. A gift to a customs director to reclassify goods at a lower tariff rate.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

A manager from Denmark takes over a team in a country with high power distance. The office is in a new building with an open floor plan, and the team recently hit its sales target. In meetings, staff rarely question her ideas even when they have concerns. What best explains the behavior?

- A. The team lacks engagement and should be replaced.
- B. High power distance leads employees to defer to the boss rather than challenge her openly.
- C. The open floor plan discourages private feedback.
- D. High individualism makes each person focus on their own work.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A U.S. sales director proposes a deal to a distributor in Japan. After a long dinner and an exchange of gifts, the distributor says, “We will study your proposal very carefully,” and changes the subject. The distributor has 400 employees. How should the director read this reply?

- A.** As a firm yes; the contract can be sent tomorrow.
- B.** As proof the deal is dead and the distributor should be dropped.
- C.** As a polite signal of hesitation that needs more relationship-building, not a yes.
- D.** As a sign the distributor is too large to deal with small suppliers.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

To protect domestic producers, a government announces that no more than 2 million tons of foreign steel may enter the country each year. The announcement came after a heated election campaign and a union rally in the capital. What type of trade barrier is this?

- A.** An import quota.
- B.** An embargo.
- C.** A tariff.
- D.** A subsidy to domestic steelmakers.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A U.S. software company, founded by two former university researchers, receives a large order for advanced encryption software from a buyer in a country subject to U.S. export restrictions. The software is legal to sell in the buyer’s country, and the buyer offers to pay in advance. What should the company do first?

- A.** Ship it, because the software is legal in the buyer’s country.
- B.** Check the software’s export classification and the destination and end user, and get a U.S. export license if one is required before shipping.
- C.** Ship it once payment clears, since prepayment removes the risk.
- D.** File an FCPA disclosure with the Justice Department.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

Country A, ~~which has a large, well-educated workforce and modern ports,~~ can make 10 shirts or 5 phones per worker-day. Country B, ~~a newer trading partner that recently joined a regional trade bloc,~~ can make 6 shirts or 1 phone per worker-day. If the two countries trade, which good should Country B specialize in?

Target word: which good B should specialize in **Decides:** B gives up only 1/6 phone per shirt versus 1/2 phone in A — B's lower opportunity cost is in shirts.

A	Correct	A shirt costs B 1/6 phone and costs A 1/2 phone, so B has the comparative advantage in shirts.
B	Camouflage	Bloc membership is background; opportunity cost decides specialization.
C	Inverted operation	A phone costs B 6 shirts versus 2 in A; B is the high-cost phone producer.
D	Adjacent category	That is absolute advantage; trade gains come from comparative advantage.

2. Answer D Concept 1 • transfer

In one month a worker in Country X can produce either 40 bushels of wheat or 8 laptops. What is the opportunity cost of one laptop?

Target word: solve for opportunity cost of one unit **Decides:** 40 bushels ÷ 8 laptops = 5 bushels given up per laptop.

A	Inverted operation	8 / 40 is the laptop cost of one bushel, not the wheat cost of one laptop.
B	Confusion set	Subtracting outputs (40 – 8) mixes units and is not an opportunity cost.
C	Wrong stem number	That is total wheat output, not the cost of one laptop.
D	Correct	Making one laptop gives up 40 / 8 = 5 bushels.

3. Answer C Concept 2

A Kansas maker of farm sensors sells a \$50 unit to buyers in Germany. ~~The company won a state export award last spring.~~ Over the year the exchange rate moves from 0.90 euros per dollar to 1.00 euro per dollar. What happens to the price German buyers pay in euros, and to likely export demand?

Target word: effect of a stronger dollar on an exporter **Decides:** The dollar strengthened: €45 becomes €50 for the same \$50 unit.

A	Dropped element	Ignores the conversion the foreign buyer must make.
B	Absolute language	A strong dollar helps U.S. importers and travelers, not exporters.
C	Correct	$\$50 \times 0.90 = €45$; $\$50 \times 1.00 = €50$. A pricier product sells less abroad.
D	Inverted operation	Reverses the direction; each dollar now costs more euros.

4. Answer D Concept 2 • transfer

A U.S. importer owes a French supplier €10,000. When the order was placed a euro cost \$1.10; on the payment date a euro costs \$1.20. How many dollars does the importer pay?

Target word: solve for dollar cost after a rate change **Decides:** Pay in euros at the payment-date rate: €10,000 × \$1.20.

A	Dropped element	That is only the extra cost from the rate change, not the total paid.
B	Wrong stem number	Uses the order-date rate, not the payment-date rate.
C	Inverted operation	Divides by the rate instead of multiplying.
D	Correct	€10,000 × \$1.20 = \$12,000; the weaker dollar raised the cost by \$1,000.

5. Answer C Concept 3

A medical-device company holds patents on a new imaging chip and wants to sell in Brazil. ~~Its CEO has visited São Paulo twice and speaks some Portuguese.~~ Leaders say protecting the chip design and controlling quality matter more than keeping costs low. Which entry mode fits best?

Target word: entry mode for maximum control **Decides:** Top priority is control of proprietary technology, cost is secondary.

A	Inverted operation	Licensing is low cost but hands the technology to another firm — the opposite of the stated priority.
B	Adjacent category	Shares control and know-how with a partner; less control than full ownership.
C	Correct	Full ownership gives the most control over technology and quality, at the highest investment and risk.
D	Camouflage	The CEO's travel and language are irrelevant to the mode choice.

6. Answer B Concept 3 • transfer

A small firm wants income from a foreign market with almost no capital spent. It is willing to let a foreign company make its patented product locally in return for royalties. Which entry mode is this?

Target word: name the mode from its features **Decides:** Foreign firm produces under the patent and pays royalties.

A	Adjacent category	Franchising licenses a full business system and brand, typically for services; a patent license for production is licensing.
B	Correct	A license grants rights to a patent or process in exchange for royalties, with little investment.
C	Inverted operation	Highest investment, the reverse of almost no capital.
D	Confusion set	Exporting ships goods made at home; no foreign firm produces them.

7. Answer D Concept 4

A U.S. engineering firm is bidding on a highway contract in another country. A local consultant, ~~recommended by a trade association and fluent in three languages~~, says a \$25,000 payment to the transport minister is customary and will secure the award. The consultant offers to make the payment himself. What is the correct view under U.S. law?

Target word: legality of the payment **Decides:** A payment to a foreign official to win a contract, even through an agent, violates the FCPA.

A	Confusion set	Facilitating payments cover routine, non-discretionary acts, not awarding a contract.
B	Dropped element	Ignores that the law reaches payments made through agents.
C	Adjacent category	Local custom is not a defense for bribery under the FCPA.
D	Correct	The FCPA covers indirect payments made through third parties.

8. Answer A Concept 4 • transfer

Which of the following payments by a U.S. company falls within the FCPA's narrow facilitating-payment exception?

Target word: reverse: find the permitted payment **Decides:** Small payment to speed a routine act the official must perform anyway.

A	Correct	Expediting a routine, non-discretionary action is the classic facilitating payment.
B	Absolute language	The FCPA contains a narrow exception for facilitating payments.
C	Inverted operation	Retaining business is covered just like winning it.
D	Adjacent category	Changing a classification is a discretionary decision; that is a bribe.

9. Answer B Concept 5

A manager from Denmark takes over a team in a country with high power distance. ~~The office is in a new building with an open floor plan, and the team recently hit its sales target.~~ In meetings, staff rarely question her ideas even when they have concerns. What best explains the behavior?

Target word: cultural explanation for silence **Decides:** High power distance: people defer to those in authority.

A	Absolute language	Treats a cultural norm as a performance problem.
B	Correct	In high power distance cultures, unequal authority is accepted and challenging superiors is uncommon.
C	Camouflage	Office layout is not what drives the pattern.
D	Confusion set	Individualism is a different dimension and does not explain deference to authority.

10. Answer C Concept 6

A U.S. sales director proposes a deal to a distributor in Japan. After a long dinner and an exchange of gifts, the distributor says, "We will study your proposal very carefully," and changes the subject. ~~The distributor has 400 employees.~~ How should the director read this reply?

Target word: meaning of an indirect reply **Decides:** High-context culture: meaning is carried indirectly; the reply signals reluctance.

A	Inverted operation	Reads the words literally, the low-context habit.
B	Absolute language	Overcorrects; the door is open if trust is built.
C	Correct	In high-context settings, an indirect reply often softens a no or signals concerns.
D	Camouflage	Company size does not explain the indirect reply.

11. Answer A Concept 7

To protect domestic producers, a government announces that no more than 2 million tons of foreign steel may enter the country each year. ~~The announcement came after a heated election campaign and a union rally in the capital.~~ What type of trade barrier is this?

Target word: classify the barrier **Decides:** A cap on quantity.

A	Correct	A quota limits the quantity of a good that may be imported.
B	Adjacent category	An embargo bans trade entirely; this still allows 2 million tons.
C	Confusion set	A tariff is a tax on imports, not a quantity limit.
D	Inverted operation	A subsidy supports home producers directly rather than restricting imports.

12. Answer B Concept 8

A U.S. software company, ~~founded by two former university researchers,~~ receives a large order for advanced encryption software from a buyer in a country subject to U.S. export restrictions. The software is legal to sell in the buyer's country, ~~and the buyer offers to pay in advance.~~ What should the company do first?

Target word: first compliance step **Decides:** U.S. export rules turn on item, destination and end user — not the buyer's local law.

A	Adjacent category	Foreign legality does not satisfy U.S. export law.
B	Correct	Export controls apply to the item and destination regardless of foreign law.
C	Camouflage	Payment terms reduce credit risk, not legal risk.
D	Confusion set	FCPA covers bribery, not export licensing.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	7	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	5	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Comparative advantage	A country should specialize in the good it gives up the least to produce (lowest opportunity cost), even if another country is better at producing everything.	Assigning production by absolute advantage — whoever makes more per hour.	Two countries, two goods, output per worker for each.
2	Exchange-rate effects	When the home currency strengthens, exports get more expensive for foreign buyers and imports get cheaper at home; a weaker currency does the reverse.	Thinking a strong dollar is always good for U.S. exporters.	A rate moves and the question asks who wins or what a buyer now pays.
3	Market-entry modes	Exporting, licensing, franchising, joint venture and wholly owned subsidiary rise in order of investment, risk and control.	Assuming a low-investment mode also gives strong control over technology or brand.	The firm states what it wants most: control, low cost, speed, or a local partner.
4	Foreign Corrupt Practices Act (FCPA)	U.S. firms may not give anything of value to a foreign official to win or keep business, directly or through an agent; small facilitating payments for routine, non-discretionary acts are a narrow exception.	Believing a payment is legal if it is customary locally or routed through a consultant.	A payment or gift to a government official tied to a contract, permit or decision.
5	Hofstede's cultural dimensions	Power distance, individualism-collectivism, uncertainty avoidance and similar dimensions describe national tendencies that shape how people treat authority, groups and risk.	Reading a cultural pattern as a personal attitude problem of one employee.	Workplace behavior that differs from the manager's home norms about bosses, groups or rules.
6	High- vs. low-context communication	High-context cultures carry meaning in relationships, tone and what is left unsaid; low-context cultures put the meaning in explicit words and written terms.	Taking a polite, indirect reply as a literal yes.	Indirect answers, long relationship-building, or insistence on detailed written contracts.
7	Trade barriers	A tariff is a tax on imports, a quota caps the quantity, and an embargo bans trade outright; tariffs are paid by the importer and largely passed to domestic buyers.	Thinking the exporting country pays the tariff, or calling a quantity limit a tariff.	A government action described as a tax, a cap, or a ban.
8	U.S. export controls and sanctions	U.S. law controls what can be shipped, to whom and for what end use; a license may be needed based on the item, destination and end user no matter what the buyer's country allows.	Assuming a sale is fine because it is legal in the buyer's country or handled by a distributor.	Sensitive technology, a restricted destination, or a flagged end user.

Course scope (public description): Managing in a Global Business Environment provides students with a generalist overview of business from a global perspective, while also developing basic skills and knowledge to help them make strategic decisions, communicate, and develop personal relationships in a global environment. Business today is by its very nature a global environment, and individuals working in business will experience the global nature of business as they progress through their careers. This course builds on previously acquired competencies by providing an overview of U.S. federal laws in relation to doing business in a global environment.